

The formula has more ins and outs than I care to tackle here. It set off lots of catfights among academics that raged for decades. (See Poundstone's book for a good look at the debates. Also, Michael Mauboussin has a summary discussion in a 2006 paper titled "Size Matters." You can find it free online.)

For me, the big obstacle is that in the stock market, you can't know your odds or your edge with any certainty. You must guess.

Nonetheless, the idea is alluring. Ed Thorp used it in his hedge fund, Princeton/Newport. Started in 1974, it averaged 19 percent returns for nearly 30 years without a down year. How much of that is due to Kelly's formula and how much to Thorp's own genius is hard to say.

Thorp's example is not a lonely one. Many great investors seem to intuitively use Kelly's formula. Which brings us back to Matt's presentation. He had a fascinating slide, which I reproduce here. (This data was current as of the end of 2014 and relies on public filings. This is not an accurate way to get a read on a portfolio because of certain limitations. For example, investors don't have to disclose foreign-listed stocks and other positions. But it gives you a rough idea of a manager's concentration in disclosed stocks.)

You'll see a number of standout investors and how they bet big on their best ideas. These portfolios look a lot like what Kelly's formula would demand.

Kelly disciples?

Baupost: Seth Klarman

93% of portfolio in 10 positions

14% in Micron Technology (MU)

7% in Cheniere Energy Inc. (LNG)

ESL Investments: Eddie Lampert

4 positions

55% in Sears Holdings (SHLD)

24% in AutoNation (AN)

Fairfax: Prem Watsa

98% of portfolio in 10 positions

35% in Resolute Forest (RFP)

31% in Blackberry (BBRY)

Fairholme: Bruce Berkowitz

8 positions

Hayman: Kyle Bass

6 positions

46% in General Motors (GM)

21% in Nationstar Mortgage (NSM)

Pabrai Funds: Mohnish Pabrai

7 positions

24% in Horsehead (ZINC)

22% in General Motors (GM)

Pershing Square: Bill Ackman

7 positions

40% in Allergan (AGN)

20% in Can. Pacific Railway (CP)

WL Ross & Co: Wilbur Ross

4 positions